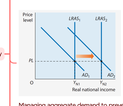
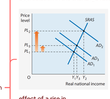
Unit9 Macroeconomic policy

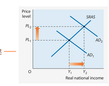
9.1 Monetary policy

- Unit6 call back: Monetary policy is the use of interest rate, money supply and exchange rate to influence the economy and help the government to achieve its objectives
- central bank acting to affect
  - interest rates
  - supply of money
  - credit
- most important objective of monetary policy — maintain the value of money and confidence in its currency — inflation must be kept low
- Central bank's discount rate: the rate of interest the central bank charges when lending to other banks — affects the overall level of interest rates — Nominal rate of interest adjusted for inflation — real interest rate can be negative(nominal interest rate<than inflation
- increases its discount rate — makes it more expensive for other banks to borrow — signal to other banks they should increase interest rates — affect short-term interest rates, also have some effect on long-term interest rates
- interest rate affect save and borrow — affect inflation and aggregate demand — keep aggregate demand growing at the same rate as the growth of output
- central bank's monetary policy
  - 

    Managing aggregate demand to prevent inflation
    - long-run economic growth LASR1 shifts to LRAS2 — monetary policy to increase AD1 to AD2 — in practice, difficult to predict the long-run rate of economic growth& precisely control the rate of growth in aggregate demand
- rate of growth in the money supply and credit provides an indicator of the rate of growth in aggregate demand
  - reduce the rate of growth of the money supply and credit — increase interest rate — more expensive to borrow and reduce the demand for loans
  - other ways of affecting supply of money and credit
    - adjust reserve ratio
    - quantitative easing
- increase interst rate — increase exchange rate — vice versa
- Expansionary Monetary Policy — reduce interest rate — depreciation in the exchange rate — increase aggregate demand, economic activity and inflation
- Contractionary Monetary Policy — increase interst rate — appreciation in the exchange rate — decrease aggregate demand, economic activity, and inflation(disinflation, deflation)
- objectives and targets of monetary policy
  - main objective of monetary policy is to maintain the value of the country's currency by achieving price stability — keeping inflation low — helping to achieve a sustained, stable rate of economic growth and low unemployment
- use of interest rates to control inflation and affect economic activity
  - affect AD — inflation and economic activity — monetary policy transmission mechanism
  - Reasons why an increase in interest rates tends to reduce aggregate demand
    - rise in interest rates — more rewarding to save rather than spend — increases the cost of borrowing — reduce their spending on consumer durables
    - increase in interest rates will increase people's mortgage repayments. — reduce purchase of other products — increases the cost of financing investment
    - cause the exchange rate to appreciate — makes it more attractive for overseas residents to save money in the country's banks — makes exports more expensive and imports cheaper — fall in net exports and aggregate demand
  - rise in interest rates tends to cause the price of assets — interest rates are high — purchase interest-bearing securities rather than shares — fall in the demand for shares tends to reduce the price of shares — wealth of some households falls — increase their savings to try to increase their wealth
  - How interest rates are used to control inflation
    - increase discount rate — fall in aggregate demand — reduces demand-pull inflationary pressures — firms are less likely to increase prices — unemployment is likely to rise& wages will increase more slowly or perhaps fall — reducing cost-push inflationary pressures
    - appreciation in the exchange rate — reduces the price of imports — reduce cost-push inflationary pressures
    - people earn more money on their savings and this may cause some people with savings to spend more
    - 

      - without an increase in interest rates — AD1 to AD2 — PL1 to PL2 — increase in interest rates means aggregate demand only increases to AD3 — PL1 to PL3, increase slowly
    - effect of a rise in interest rates on inflation
    - inflation is expected to be below the inflation target — cut its discount rate leading to an increase in aggregate demand
    - Risks of Raising Interest Rates
      - Economic slowdown
      - Higher unemployment
      - Debt burden
    - predict the future rate of inflation they will consider a variety of indicators
  - How interest rates affect economic activity
    - cut in interest rates — encourage firms to increase output and employ more people — further increase in economic activity — producing below its normal capacity level of output — grow without too much effect on inflation — vice versa
    - not always east to determine the amount of spare capacity — difficult to decide whether it should raise or lower interest rates, or leave them unchanged
    - have a role to play in reducing fluctuations in economic activity& stabilising the economy
- How the exchange rate affects aggregate demand and macroeconomic policy objectives
  - changing interest rates& buying and selling its currency on the foreign exchange market
  - Depreciation of the Currency — Exports rise, imports fall — net exports increase — boosting the AD
  - appreciation of the Currency — Exports fall, imports rise — net exports decrease — reducing the AD
  - How changes in the exchange rate affect economic growth
    - depreciation in the exchange rate — aggregate demand rise — increase output and short-run economic growth
    - makes it cheaper for foreign firms to invest in — productive capacity will increase — increase long-run rate of economic growth — vice versa
  - How changes in the exchange rate affect unemployment — depreciation in the exchange rate
    - more jobs in industries that export goods and services — injection, psitive multiplier effect — increase incomes and employment in other part of the economy
    - increase domestic currency of price of imports — buy home-produced products — create jobs in import-competing industries
  - How changes in the exchange rate affect inflation
    - depreciation in the exchange rate — increase inflationary pressures
      - increase in aggregate demand — demand-pull inflation
      - increase price of imports — add cost-push inflation
      - direct increase the CPI
    - appreciation in the exchange rate — vice versa
  - How changes in the exchange rate affect the balance of payments
    - depreciation in exchange rate — improvement in BOP
    - appreciation in exchange rate — deterioration in BOP
- Other instruments of monetary policy, including quantitative easing
  - Setting required reserve ratios — reserve ratio: the ratio between the amount of liquid assets a bank holds and its deposits
    - increases required reserve ratios — more difficult for banks to create deposits — reduce bank lending — limits the growth of the money supply and credit — contractionary monetary policy
    - reduces reserve ratio — increase aggregate demand — expansionary monetary policy
    - Banks don't just lend money—they create money through the lending process — $\text{Total Money Created} = \frac{1}{\text{Reserve Ratio}} \times \text{Initial Deposit}$
  - quantitative easing
    - when the central bank makes large scale purchases of government and/or corporate bonds — unconventional monetary policy
    - helps to increase aggregate demand
      - making it easier for banks to lend — make them more liquid — have more cash reserves — able to create more loans — increase aggregate demand
      - reducing long-term interest rates — increase in the demand for bonds — increase in the price of bonds
        - reduce the yield(interest rate) on the bond — long-term interest rates fall — cheaper for economic agents to finance their spending — creating jobs and boosting economic growth
        - bond yield= bond payment/bond price
    - quantitative tightening — central banks start to sell its holdings of government bonds — reduces the liquidity of the banks — increases long-term interest rates
- limitations
  - liquidity trap — occurs when interest rates are very low, individuals prefer to hold cash instead of spending or investing(confidence are very low) — monetary policy becomes ineffective — adopt QE(unconventional)
  - conflicts with other objectives — reduce inflation can results in low economic growth and high unemployment
  - ineffective in solving cost-push inflation(imported raw material) — even though can solve demand-pull inflation effective

9.2 Fiscal policy

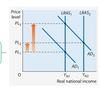
- Direct and indirect taxes
  - Direct taxes
    - pay for government expenditure
    - cannot be passed on to others
      - 

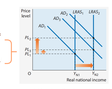
        effect of a reduction in income tax
        - 常规描述
          - have spare capacity.
          - close to full capacity.
    - long-run, reduction in income tax may also affect the incentive to work
      - people be willing to work more hours
      - increase in the number of people in the labour force
      - increase productive capacity, shifts LRAS curve to the right
  - Indirect taxes
    - possible for the person who pays an indirect tax to pass the burden on to other people
    -

      effect of an increase in a sales tax on the macroeconomy
      - 常规描述 — reduction in AD(movement along aggregate demand curve)
- Progressive, proportional and regressive taxes
  - progressive tax — when as income increases the percentage of income taken in tax also increases
  - proportional tax — when the percentage of income taken in tax is the same at all level of income
  - regressive tax — when as income increases, the percentage of income taken in tax decreases — increase inequality
  - not all indirect taxes make the distribution of income less equal — levy higher rates of tax on luxury goods — make necessities exempt from tax
  - Taxes affect incentives
    - income tax rates are too high — little financial incentive to work — very progressive tax system — have significant disincentive effect for people who are in highly paid jobs
    - High taxes on company profits reduce the incentive to set up businesses and invest in expanding the business — reduce inward foreign direct investment
    - indirect tax is usually regressive — but do not have much disincentive effects as direct tax — increased indirect taxes and reduced rates of direct taxation — makes work and enterprise more rewarding
      - increase employment and economic growth
      - However, increasing indirect taxes adds to cost-push inflationary pressures
- The relationship between the budget balance and the national debt
  - budget deficit — C>T — government needs to borrow
  - budget surplus — T>C — able to repay money that it has borrowed in previous years
  - balanced budget — C=T — has raised just enough money through taxation to pay for its spending
  - A budget deficit shows the increase in the national debt that occurs in one year
  - A budget surplus shows the reduction in the national debt in one year
  - Does the size of a country's national debt matter?
    - country has a high national debt — other things being equal, the interest that the government has to pay on the debt will be higher
    - banks and other financial institutions believe that there is a risk that the government will be unable to repay bond holders when the bonds mature — rate of interest the government has to pay to attract people to buy its bonds will increase
    - deficit and the national debt get too large — interest rates may increase — fall in consumption and investment
    - interest rates are low — government can borrow cheaply to finance spending on investment — increase the underlying rate of growth of the economy
- Cyclical and structural influences on the budget balance
  - Cyclical influences on the budget balance
    - Cyclical budget deficit: deterioration in the budget balance that is caused by the decline in economic activity when an economy goes into a recession
      - reduction in revenue from direct and indirect taxes
      - increase in government spending on welfare
    - Cyclical budget surplus: the improvement in the budget balance that is caused by the increase in economic activity when an economy recovers
      - As the economy approaches full capacity — government might also cut government spending and increases tax rates — prevent aggregate demand increasing too quickly and causing inflation — improve budget balance
  - Structural influences on the budget balance — size of any structural deficit or surplus, depends on the government's tax and spending policies — eg: increase spending on pension in dealing with aging population
  - overall budget balance is determined by both structural and cyclical influences
  - If the economy is benefiting from underlying long-run economic growth — taxes revenue will increase — unless the government increases its spending — structural deficit should fall
- limitaitons
  - government spending is expensive — budget deficit — rising national debt — higher interest payments — oppotunity cost
  - conflicts — expansionary fiscal policy — achieving economic growth and/ or full employment — demand-pull inflation and/ or budget balance deterioration
  - greater inequality — reduction in income tax or corporate tax

9.3 Supply-side policy

- Unit6 call back: supply-side policy are measures to increase economic incentives, make markets work better and increase in productive capacity of the economy
- difference between supply-side policies and supply-side improvements
  - supply-side improvements
    - Improve the productivity and efficiency
    - Increase the supply of factors of production
    - Lead to a rightward shift in the LRAS curve
    - Improve products (quality / innovative features)
    - Create new infrastructure and invention and innovation
    - Improve labour mobility
    - can occur independently of the government
  - Supply-side policies
    - help to generate supply-side improvements
    - create an environment in which the supply-side improvements are more likely to take place
    - directly improve the supply side of an economy
    - main aim is to
      - increase the supply of factors of production
      - improve productivity
- How supply-side policies can lead to supply-side improvements in the economy
  - free-market supply-side policies
    - Measures to increase incentives to work and enterprise
    - make markets more competitive by reducing government involvement
  - Interventionist supply-side policies — Measures taken by the government to deal with the weaknesses of the free market
- How supply-side policies increase the potential output and growth of an economy
  - help to make the economy more adaptable, support enterprise and encourage innovation
  - How tax reform can improve the supply-side performance of an economy
    - Incentivizes Work — increase the financial rewards from employment
      - reducing the likelihood of voluntary unemployment
      - encourage workers to work more hours
      - improve the required reallocation of resources
    - Increases Investment Funds — reducing corporate tax
      - leaves firms with more funds to finance investment — improve ability to invest in developing new products and training workers
    - Increases Tax Revenue — lower tax rates stimulate enough economic activity — lead to an increase in total tax revenue
  - How government spending can improve the supply-side performance of an economy
    - government spending on infrastructure such as road and rail — improves efficiency and reduces transport costs
    - without government support — investment and spending on research and development would be too low
    - Investment in human capital
    - in favour of the privatisation
  - How other supply-side policies can improve the supply-side performance of an economy
    - Deregulation can decrease costs and can encourage new firms to enter the market
    - Reducing restrictions on imports and inward investment from abroad
      - increases competition and can lead to improvements in productivity and efficiency
      - domestic firms are unable to compete with overseas rivals — reduce GDP and increase unemployment
    - Policies such as providing free or subsidised childcare — make it easier for women to return to work after having children
    - Promoting equal pay and equal opportunities for women — increase female participation rates — increase the size of the labour force
  -

    effect of supply-side policies on the potential output and the growth of the economy
    - successful supply-side policies lead to a faster underlying rate of economic growth — economy's productive capacity increases from YN1 to YN3
- Supply-side policies can affect unemployment, inflation and the balance of payments on current account
  - help to remove some of the policy conflicts results from using monetary and fiscal policy
  - reduce unemployment
    - reducing frictional unemployment
      - Providing better information about job vacancies — people find jobs quickly
      - Improvements to local transport systems — people are able to get jobs in other areas
      - Reducing the replacement ratio — higher incentive for looking for a job — get into work as soon as possible
    - reducing structural unemployment
      - Government spending on education and training — improve people's basic skills — make workforce more adaptible
      - Retraining programmes
        - keep job in a declining industry
        - acquire the necessary skills to work in growing industries
      - Improving local transport and communication links — travel to work in different areas fast
      - providing good quality, affordable housing in areas where there are labour shortages — encourage people to move from areas where unemployment is high
    - help to increasing size of labour force
  - keep inflation low
    - reducing cost-push inflationary pressures
      - increase in productivity and efficiency — reduce the average cost of production and offset effect of inflationary pressure
    - reducing demand-pull inflation
      - increase productive capacity — respond to an increase in aggregate demand by increasing output — rather than increasing price level
    - supply-side policies shift the LRAS curve from LRAS1to LRAS2
      - aggregate demand increases from AD1 to AD2 — price level will increase from PL1 to PL2
      - without the increase in productive capacity caused by supply-side policy — price level would have increased from PL1 to PL3
    - 

      effect of supply-side policies on inflation
  - benefits
    - 上述的好处+。
    - reducing the conflicts between macroeconomic policy objectives — helping the economy to achieve non-inflationary growth
    - improvements in the flexibility and adaptability of the economy — reducing fluctuations of economic activity
  - limitations
    - time lag — takes very long time between implementing policies and results
    - effects cannot be guaranteed
    - some policies may be expensive
    - unintended consequences(三个policy都能写 万能limitation)
    - may lead to greater inequality
      - changes to the tax and benefit systems to increase the incentive to work
      - cutting taxes on the profits of large firms
- Unit6 call back: Fiscal policy is the use of government spending and taxation to influence the economy and helps the government to achieve its objectives.
- The government's fiscal policy
  - expansionary fiscal policy — when the government increase its spending and/ or reduces the amount of money it raise in taxes
  - contractionary fiscal policy — when the government reduces its spending and/ or increases the amount of money it raises in taxes
- The macroeconomic and microeconomic functions of fiscal policy
  - changes in fiscal policy affect the economic performances
    - increase AD
      - firms raise their price to earn more profits — inflation
      - firms increase output to meet the AD — short-run economic growth
      - hire more workers for producing — decrease unemployment
      - make exports less competitive — worsen balance of payments
    - help the economy to recover from the recession
    - growing too rapidly and inflation is rising — reduce aggregate demand and prevent inflation getting out of control
  - Some governments prefer to use monetary policy to manage AD — only use fiscal measurement when monetary policy is not having enough effect
  - correct market failure
    - increase taxes on demerit goods
    - provides subsidies on merit goods
    - impose higher tax to riches and give welfare benefits to poor people — reduce inequalities
  - government will consider the consequences for individual market and the economy as a whole
- The use of fiscal policy to manage aggregate demand
  - Using fiscal policy to increase aggregate demand
    - recession and depression due to fall aggregate demand
      - government increase spending
        - component of aggregate demand (AD = C + I + G + X – M)
        - injection into the circular flow of income
        - increase aggregate demand — have multiplier effects on national income
      - cutting taxes — withdrawal from the circular flow of income
        - cut in income tax — increase consumption — increase households' disposable income
        - cut in taxes on business — increase in investment — increase firms' profit
        - have multiplier effects on national income
    - Keynesians usually prefer to increase government spending rather than cut taxation — in recession, lack confidence — reduction in taxation might be saved and not spent — not be much effect on AD or the economy
    - Keynesians argue that the government should deliberately run a budget deficit (G > T) — increase AD — net injection into the circular flow of income — increase output, employment and national income
  - Using fiscal policy to reduce aggregate demand
    - contractionary fiscal policy will reduce aggregate demand — prevent inflation and economy overheating — reduce its spending and increase taxes — budget surplus — further decrease in AD — downward multiplier effect — net withdrawal for the circular flow of income
    - LRAS1 shifts to LRAS2, underlying growth of economy — AD1 increase to AD2 — PL1 rises to PL2
    - If the government used contractionary fiscal policy — reduce aggregate demand to AD3 — price level only increase to PL2
    - 

      use of fiscal policy to reduce inflation
    - central bank will consider fiscal policy and its inclusence on AD and inflation in deciding interest rate
- Using fiscal policy to influence aggregate supply
  - shift LRAS cure to the right
    - spending on infrastructure — increase the efficiency and productive capacity of an economy
    - spending on education and training — increase labour productivity
    - Cuts in income tax rates — ncrease the number of people in the labour force
    - Cutting taxes on company profits — increase investment and spending on R&D
  - unlikely to have much effect in the short-run — long-run consequences cannot be predicted with any certainty — but have more obvious effects on aggregate demand
- Using fiscal policy to influence the pattern of economic activity
  - how an economy's dactor of production are allocated between different uses
  - examples
    - spend more money on healthcare — more hospitals will be built, more doctors and nurses will be trained and employed
    - increases taxes on tabacco — price rises and demand falls — fewer factors of production will be employed producing tobacco
  - use of government spending and taxation can be used to protect environment

Presented with xmind By Dada Du